

company's assets minus its liabilities (per share). If the price/book ratio is low, the shares may be undervalued.³

52-week high/low. This represents the highest and lowest prices at which the stock has traded in the past year. A stock that nears or passes its previous high or low could see additional trading volume and volatility.⁴

Dividend yield. This indicates how much of a company's cash flow is being passed through to investors in the form of dividends. This divides the value of dividends paid in the past year (per share) by the stock's current share value.⁵

Beta. This measures how volatile the stock is compared with the overall market.

Market correction. This is commonly defined as a drop of 10% or more from a recent high the stock market has experienced. Corrections can happen for several reasons, including changes in the economy or world events like political shifts or pandemics that make investors uncertain, causing them to cash out of their investments quickly. While a correction can cause short-term declines, it can be beneficial in correcting overvalued stocks, allowing for a healthier stock market over time.

The more terminology you know, the more informed your investment decisions will be because you'll be able to more fully understand what you're reading about a stock or fund.⁶

Take Action

1. Head over to finance.google.com, finance.yahoo.com, morningstar.com, nasdaq.com, or a specific brokerage website, for example, vanguard.com, fidelity.com, schwabfunds.com, and so on. You can pick your favorite based on visual appeal and ease of use, or go with the brokerage firm where you have an account.
2. Under the tools & research section of the site you choose, look up the index funds mentioned in this section and the prior section. You can also look up any other stocks or funds you're interested in to learn